A CLIO RESOURCE

Implementing Alternative Fee Agreements at Your Law Firm

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Introduction

For decades, the "billable hour" has been the most common method of billing clients at law firms. To be profitable, attorneys must make enough money from their hours to not only cover salary and overhead but also generate revenue for the business.

It's based on a simple formula: dollars x hours. A client buys an attorney's time in hourly increments to work on a matter. Its simplicity and straightforward application have traditionally made this an attractive billing method, but it's not the only way to bill clients and generate revenue. Hourly billing can be a bit restrictive for clients looking for flexible options and inefficient for lawyers who also need to spend time on non-billable work – many lawyers spend up to 5.5 hours daily on non-billable work, per the *2021 Legal Trends Report.*

In an uncertain economy, clients want to see better value for their dollar. They want a transparent and customized pricing structure that is genuinely "client-centered" in practice and not just a marketing buzzword. And why not? If firms can embrace new methods like remote meetings and virtual hearings, then why should they continue holding dearly to one type of billing structure?

What do clients feel about hourling billing?

44% of firms found that clients don't pay their bills because they lack the funds to pay all at once.

78% of consumers say that lawyers should adopt pricing and payment models to make legal services more affordable.*

Fortunately for law firms, alternative fee agreements (AFAs) offer the valuebased billing model that easily fills these gaps and benefits both the firm and clients. AFAs offers clearer expectations to both parties right from the start and allows lawyers to use their time and resources more efficiently while establishing trust with clients.

In this eBook, we are going to explain the different types of AFAs, their benefits and how they help in making your firm profitable. Here's what we'll cover:

- **Quick history of the billable hour**
- **The problem with hourly billing**
- **Types of alternative fee agreements**
  - Fixed fee billing
  - Subscription-based billing
  - Success or contingency fees
  - Capped fees
  - Unbundled fees
  - Blended fees
  - Payment Plans
- **Benefits of AFAs**
- **Best practices for implementing AFAs**
  - How to identify fixed fee projects
  - Determining your current costs
  - Streamlining your process and systems
    - Document automation
    - Practice management
  - Setting a price
  - Experimentation

Quick history of the billable hour

During the Great Depression of the 1930s and 1940s, income for attorneys was lagging behind other professions, so many state bar associations began suggesting minimum fee schedules that set the standard price for certain legal services.

Up until the 1970s, the billable hour was almost nonexistent. Like everything else in a lawyer's practice, the billable hour was shaped by case law. The universal rise of the billable hour can be traced to a 1975 Supreme Court ruling in *Goldfarb v. Virginia*. A Virginia couple, the Goldfarbs', had signed a contract to purchase a home. In order to secure a mortgage for the home, the financing agency required a title examination, which only a member of the Virginia State Bar could legally perform. At that time, the Virginia State Bar, like many other states across the country, enforced a minimum fee schedule, setting a price floor for common legal services. The Goldfarb's contacted 36 attorneys and not a single one was willing to charge less than the fixed rate adopted by the Virginia State Bar. They quickly found out that the minimum fee schedule made negotiating prices and shopping around for an attorney a pointless venture.

Frustrated, the Goldfarb's filed a class action suit against the Virginia State Bar alleging that the minimum fee schedules constituted price fixing in violation of Federal antitrust laws. In a landmark decision, the Court sided with the Goldfarbs', thus setting the stage for emergence of the billable hour. Naturally, the billable hour quickly became the dominant way for firms of all sizes and practice areas to charge clients a differentiated rate for their services. In the years following the Goldfarb decision, law firms experienced unprecedented growth that further entrenched the billable hour with the practice of law.

THE PROBLEM WITH HOURLY BILLING

The primary criticism of hourly billing is the potential for abuse. Clients fear that hourly billing encourages attorneys to drag their feet in order to "pad" their bills. Also, pressure placed on associate attorneys to meet billing requirements, on average around 2,000 a year, to keep their job can encourage inefficiency.

Lawyers work overtime on a weekly basis but only spend 2.5 hours per day on billable work.

The billable hour also leaves clients in a zone of uncertainty because they do not know how much they will end up paying. For example, a client who hires an attorney to handle a DUI case on an hourly basis cannot be sure of the final bill. The attorney may be able to provide an estimate of the time commitment and cost, but it doesn't give clients the clarity they want.

From an attorney's perspective, time is limited. With only 24 hours in a day, the amount an attorney can work and earn becomes limited. For example, an attorney that works 9 hours per day at an hourly rate of $300 has a limit of $2,700 in the revenue they're able to generate. This doesn't take into account non-billable time like lunch breaks, networking, and administrative tasks. This encourages a sense of constantly treading water. If an attorney wants to generate more revenue, they either have to work more hours or increase their hourly rate.

Disputes arising out of hourly billing are also the major cause of attorney-client conflict, while impacting reputation, good-will, and potential for referrals. Partners dread scouring through client invoices, justifying phone calls or time spent drafting a pleading. Chasing down clients to collect fees or filing a claim in court for unpaid legal bills is equally frustrating.

These facts, among others, are reasons why many firms are turning away from hourly billing and exploring methods like AFAs, which align with clients' demands for cost-transparency and supports attorney's to provide the same quality work in less time.

84% of law firms are offering some type of alternative fee arrangements (AFA) to charge clients for their services.

Types of alternative fee agreements

Alternative fee agreements set the price for services based on value rather than time. The billing model enjoyed a renaissance after the 2008 economic meltdown when financial pressures forced law firms of all sizes to rethink their approach. The weak economy altered clients' perspectives on billing practices, placing emphasis on value for dollar and predictability. This coincided with consumers also becoming more aware, and having better resources at their disposal to select an attorney, or try to handle a legal matter on their own using online resources.

In adapting to these realities, attorneys turned to AFAs, which seemed more client-friendly. AFAs are not designed to charge a client less or be a more affordable option. Instead, AFAs take into consideration the actual value of an attorney's work, while offering a structured price that better meets the requirements of both the client and the firm.

2020 Legal Trends Report survey data found that **28%** of law firms offer unbundled legal services and **8%** of law firms offer subscription-based legal services.

Although expenses, work product, and timing are important, a reasonable AFA is based on value to the client and how much they are willing to pay for that value. Time might be a measure of cost for an attorney, but it doesn't necessarily translate to the value conferred upon the client. Here are some popular AFAs used by law firms:

FIXED FEE BILLING

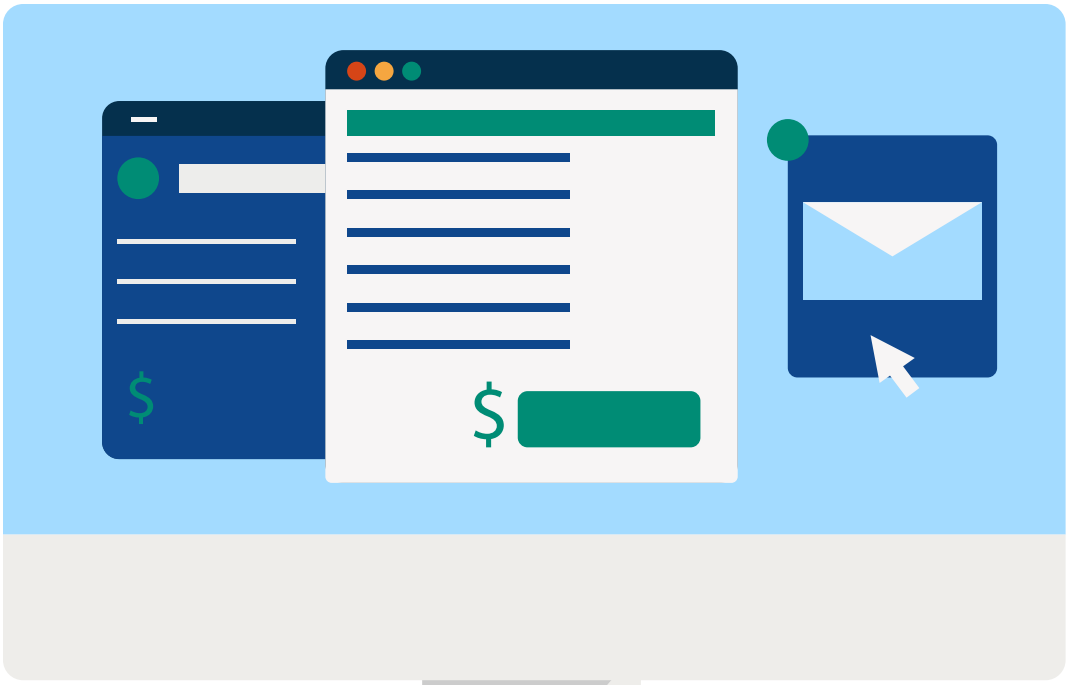
A popular alternative to hourly billing is fixed fees. A prearranged fee is paid upfront for predefined tasks or services. It's well suited for estate planning, family law, business law, real estate, criminal law, and certain types of litigation. But sometimes, a fixed fee may not be appropriate or even possible in specific cases which are complex and where the scope of work is hard to predict. In that case, some firms identify projects, or part of a project that can be shifted to fixed fees, while keeping the door open for complex, less predictable legal fees. Instead of charging a fixed fee for the entire task, an attorney can split the fee into phases or benchmarks, from pleadings to discovery and trial. This is generally appropriate for litigation-heavy or long-term matters.

For a results driven matter, an attorney may want to pair a fixed fee with a success fee, for example. This allows the attorney and the client to share the risk associated with the representation. A percentage of the fixed fee is set aside and paid only if the outcome is favorable to the client. Likewise, if the matter is unsuccessful, the client receives a discount and does not have to pay the preassigned percentage of the fixed fee.

Best suited when: Fixed fee billing works best when the scope of the project can be determined in advance and the lawyer has completed similar work for the same or similar clients. It is also useful when the work is repetitive or predictable and the client wants cost certainty and predictability.

Benefits:

- Ensures efficient use of time and resources
- Easy to negotiate with clients and agree upon
- Encourages delegation to legal staff within the firm



SUBSCRIPTION-BASED BILLING

Subscription-based billings have become increasingly popular in recent years. Stemming from the newspaper and magazine industry, it is now the go-to revenue generator for some of the world's most successful companies. The fee structure is similar to how you would pay for your media-streaming service or a news membership, for example.

A firm can provide clients a range of services like unlimited legal advice, document review etc., under the subscription plan. There are countless ways to structure or package this type of plan and bucket it under different pricing models that best suit your client base. You could distribute it based on pricing tiers, annual/monthly subscriptions, etc. This type of billing helps firms gain a more predictable and consistent stream of work while developing an ongoing relationship with their client. Importantly, you get financial projections for the year based on how many clients have committed to the subscription. Given the creativity of these agreements, it's crucial to understand and comply with jurisdictional rules of professional conduct governing fees.

Best suited when: firms that are continuously contacted by their clients during a crisis, for example, for legal advice, reviewing legal documents, drafting legal papers etc. Also suitable for firms that have a loyal customer base because this opens up more opportunities for them to use your firm's services.

Benefits:

- Generates a consistent stream of revenue and helps plan growth opportunities with that reserve.
- Helps scale the firm by attracting more customers that continuously require assistance for tasks without repeatedly providing their case or matter. Allen Rodriquez, CEO of One400, writes for the *California Lawyers Association:* *"Monthly legal services that cost $29 a month, and get 50 new subscribers a month, can generate $15,000 a month "even when you consider attrition/churn rates … Our own data shows that utilization rates tend to hover around 25 to 30%, and most of our plans include software-provided services, such as a content library or document downloads."*

SUCCESS OR CONTIGENCY FEE

Under a contingency agreement, an attorney gets paid a certain percentage, typically between 30-40%, from a settlement or damages if the case is successful. This makes the decision of whether or not to accept a case very important. The burden of risk is placed on the attorney and representation is mostly accepted only when there is an objectively meritorious claim. However, there is also the risk that you won't get paid for your work if the case lands an unfavorable judgment. Injury lawyers are often seen advertising this type of fee structure.

Best suited when: Firms often use contingency billing for cases that have a high chance of success. However, contingency fees are prohibited for certain types of cases, so check your state's rules before deciding to bill on contingency.

Benefits:

- Provides access to justice to clients at a time when they need it the most, for example injury victims face high expenses including medical expenses and lost wages.
- Frees up an attorney to take actions that they think is necessary to move the matter forward.

CAPPED FEES

These are a form of hourly billing that place a predetermined limit on how many hours will be spent on a case. For example, an attorney who charges $200 per hour could work on a case with a capped fee agreement, and negotiate with the client to not charge more than $8,000 for all services related to the matter. This gives the client peace of mind knowing that the meter won't be kept running beyond what's expected.

In certain situations, some lawyers include a risk collar as an incentive, providing a bonus if the work is completed under budget and alternatively, a discount if it goes over budget. Capped fees work best for firms when the project can be scoped in advance, or is similar to previous work completed for the client, or a similar client. However, failing to predict the maximum cost of the matter could mean passing the capped amount and completing the work without much profit.

Best suited when: Attorneys that can gauge the scope of the matter in terms of time and cost to avoid paying out of their own pocket.

Benefits:

- Promotes risk sharing between client and attorney on agreed terms.
- Encourages client satisfaction with cost predictability.

UNBUNDLED FEE

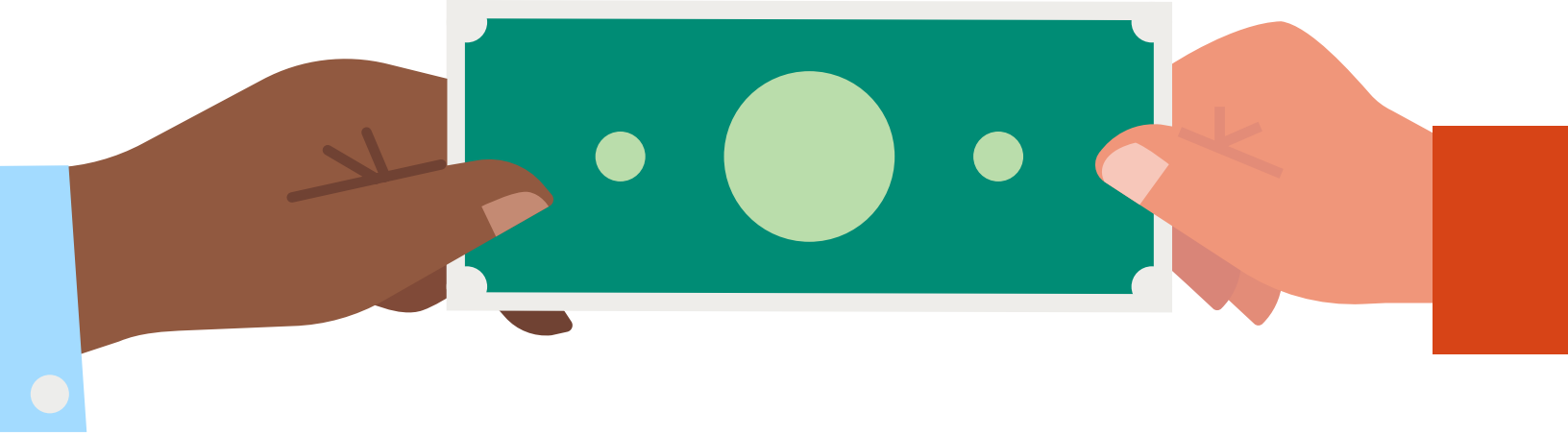
Unbundling, also known as limited scope representation, is a type of AFA where the lawyer is asked to perform specific tasks within a matter and the rest is left to the client. In small litigation matters, lawyers can provide unbundled services like drafting documents, reviewing documents, advising for negotiation, case evaluation, etc. As unbundled structures are offered a la carte, they tend to be more affordable than a traditional billing structure but puts more responsibility on the client to understand what needs to be done. It's important to note that not all legal services are compatible with the unbundled billing model, for example cases related to a complex child custody case.

Rules around unbundled services vary based on jurisdiction so it's important to regularly check them. Many firms use a limited scope representation agreement to clearly outline what clients can expect and what services are and aren't included from the firm.

Best suited when: It best works for clients that cannot afford to pay for the full scope of legal services but require assistance in some capacity.

Benefits:

- Offers legal services to clients who can't afford full legal representation.
- Sets clear expectations right from the start about what tasks will and will not be performed and what will be charged.
- Improves access to justice for clients.



BLENDED FEES

In this model, the firm's time is billed equally on an agreed-upon rate, no matter who in the firm works on the project. For example with blended fees, a client may negotiate their hourly rate to be $250 and leave it up to the firm to delegate work to a senior attorney whose hourly rate is $500, or a newer attorney who bills $100 per hour.

A blended structure protects clients from high fees if a senior partner takes up specific work within the case, however if the work is delegated to a more junior attorney it could be a disadvantage to the client.

Best suited when: It works best for matters that do not require a wide range of expertise and when the work and tasks are well known and best suited for a blended fee structure. Law firms may be reluctant to offer it however, when the mix of work between junior and senior attorneys is hard to predict.

Benefits:

- Encourages work delegation.
- Easy to understand and simplified billing for clients.

PAYMENT PLANS

A payments plan allows clients to pay their legal fees in installments rather than all at once. This gives them better control and a customized pace of their payments that works for their budget. According to the *2020 Legal Trends Report*, consumers said that a payment plan was one of the key factors in deciding whether or not to choose a lawyer. Since many consumers already use this type of billing to pay for other services like online shopping, it is much easier for them to understand and use.

72% of consumers would rather pay their legal fees on a payment plan.

If utilized effectively, firms too have a lot to gain from this type of billing. 44% of law firms say that clients don't pay their bills because they lack the funds to pay it all at once, per the *Legal Trends Report*. Offering to let clients pay in installments can help solve this issue.

Collections also become a smooth and more manageable process when you know when to expect payments instead of going back and forth with the clients about collections.

Best suited when: you and your client can agree on a realistic payment plan that suits your firm and clients' needs. If a client can only afford to pay $200 per month but their total bill is $5,000, their payments will continue for over two years, which may not be ideal for either party.

Benefits:

- Saves the back and forth with clients about collections.
- Attracts more clients and encourages referrals.
- Allows you to collect more by breaking down bigger bills into installments.

IN CONCLUSION

These are a few of the most common fee agreements used by lawyers. It is by no means an exhaustive list. Other variations combine one or more fee agreement types, creating a hybrid fee agreement or implement modifiers such as caps or success fees.

When choosing a fee agreement, whether utilizing a traditional method or an AFA, it's important to understand that there is no one size fits all approach. Finding the right fee for both the client and attorney is a delicate balance between ensuring adequate compensation, while promoting fairness and value to the client footing the bill.

Benefits of AFAs

It's no secret that change is hard for most attorneys, especially, when it comes to shifting away from something so indistinguishable from the practice of law and as simple as multiplying dollars times hours. Yet, embracing change and adopting AFAs has its benefits that have been realized by both clients and attorneys.

The most cited benefit of AFAs is the attractiveness to clients. The level of financial predictability it provides stands in stark contrast to an hourly billing arrangement. From the outset, the client will understand the total cost of legal services for a given project. This places them in a better position to assess affordability, avoid misunderstandings and billing disputes, and leads to higher client satisfaction.

AFAs also have a wider appeal with a client base who generally wouldn't be interested in hiring an attorney out of fear of runaway costs. People embrace certainty and hate surprises when it comes to bills. With transparent limits on total cost, clients are more inclined to feel that legal bills are fair and reasonable.

In addition, transitioning to an alternative fee structure requires a comprehensive understanding of costs, time, and profits. AFAs force attorneys to open the books and take a deep dive into the often-dreaded budgetary side of their practice. It also forces attorneys to look at the overall efficiency of their practice and ways to improve the use of resources and technology. With more risk placed on attorneys, compared to hourly billing, many rely on technology, such as practice management or document automation software to create streamlined predictable systems for their firm's procedures. AFAs drive innovation and creativity and are appealing to attorneys who aim to stay current with growing trends in the profession.

46% of low-income Americans who do not seek legal help cite cost as the top reason, per the *2022 Justice Gap report.*

Best practices for implementing AFAs

The number one factor to keep in mind when implementing AFAs is profitability. Regardless of the type of fee used, revenue must always exceed costs. As mentioned, the goal of AFAs isn't to simply reduce client fees, but rather to provide a more transparent and predictable approach that makes sense for both attorneys and their clients.

1 — HOW TO IDENTIFY POTENTIAL AFA PROJECTS

The first step to implementing AFAs is to identify potential projects that could be moved away from hourly billing. Practically, one of the best ways to do this is to ask yourself if you already have projects that you count on for an expected amount of revenue. Often, attorneys already have certain projects that they know reliably generate a certain amount of revenue. Start by writing those projects down.

If you don't have a list of projects that you know create relatively consistent fees, start by making a list of your most common projects. Look at the historical bills for those projects, how significant is the range of fees? Try to identify projects that are mostly consistent, if there are a few outliers, try to identify certain facts or factors that made them significantly different from the others. Is there a way to screen for those as part of the intake process? The goal is to identify a project and certain criteria that if true will allow you to generate a predictable amount of revenue. Most attorneys find it encouraging if there are other firms that are currently offering a flat rate for the same types of projects. A google search can help here.

2 — DETERMINING YOUR CURRENT COSTS

After you have identified a list of potential projects, you want to determine a price to charge for those projects. Start by examining the time spent and costs for those projects in your historical bills. Be sure to factor in not just your billable time, but the administrative time involved, as well as other incidental costs such as filing fees. To get started, many attorneys price their flat rate projects on the higher end of their historical range, so that they have a cushion and are confident their pricing will be consistently profitable. You should find confidence in the fact that your previous clients have historically been willing to pay $X amount for these projects.

3 — STREAMLINE YOUR PROCESS AND SYSTEMS

One of the biggest benefits to moving to a fixed rate cost structure is that it incentivizes you to be more efficient. If you are able to charge a flat rate and produce the same work product in less time, your profits increase without sacrificing quality, and you can provide a better client experience.

Select a project you have identified and map out the process involved with everything from intake to execution. Are there areas where you could streamline certain steps? Are there aspects of the project that you could delegate to staff or other less experienced attorneys? You could also consider implementing legal solutions. Here's a preview of what these systems offer:

- **Document Automation:** A document automation solution like Clio Draft helps you draft legal documents quickly, accurately and consistently by identifying information such as dates, names, clauses, pronouns, conditional logic, etc. that changes every time a document is used for a new client or matter. It removes the repetitive and laborious steps from drafting so you can be more productive by focusing on high-impact work that creates value.

  You get routine work done faster by spending 80% less time drafting, and auto-populating client and matter information into sets of documents simultaneously. From here you can easily review and edit updated docs and send them directly for electronic signature. The entire workflow is remote-friendly, which means you can generate forms and documents from anywhere – all you need is an internet connection.

- **Practice Management Software:** This provides a range of tools to manage the business conveniently. Firms use these tools to manage past, existing, and future cases and clients, giving complete visibility into all case information through a single dashboard. It simplifies tracking case details such as client contact, time entry, bill, etc., making the solution necessary for family law firms in the digital world.

  Before selecting a practice management system, consider looking for online groups of legal technology users. There are groups for major platforms, including Clio, PracticePanther, and Smokeball, among others on Facebook and other platforms. This will allow you to hear more about benefits and challenges.

4 — SETTING A PRICE

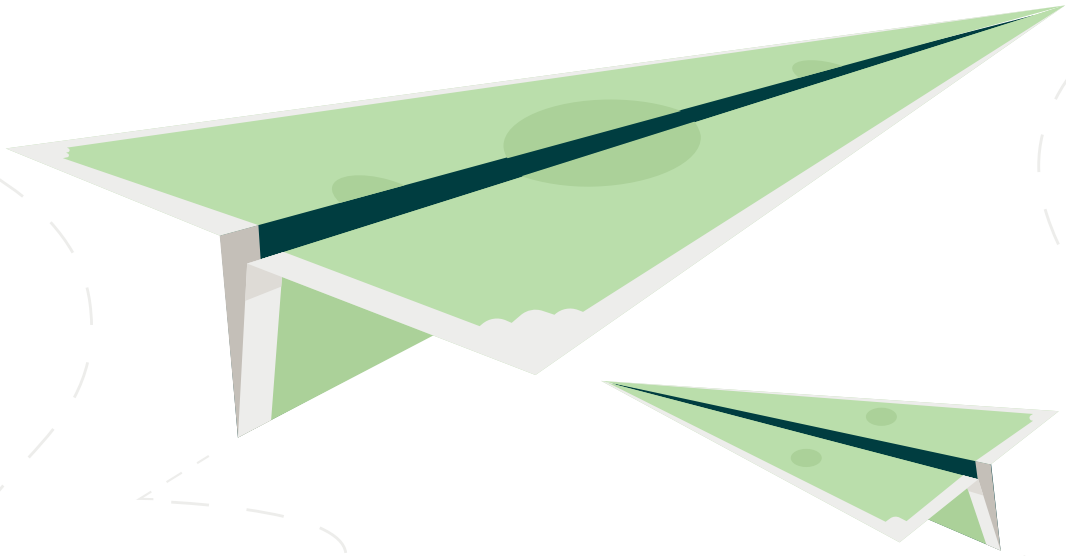
One of the most important pieces to implementing an AFA is to set your pricing. Many firms find it helpful to look at what other firms charge for similar projects. There are two main benefits of doing this kind of market research. The first is so that you know what a client will encounter when they are exploring, and so you already have responses prepared when they inquire about yours. Again, the goal is not to be the least expensive option, it is to provide the best value.

Depending on your experience, and the circumstances, it may make sense to charge more or less than the market rate. But at the very least you want to be aware of where you sit within the range of other options because that is what your potential client will encounter when they are researching. The second benefit to understanding what other firms charge is that it'll help you to understand what they've determined as a profitable fee structure and may prompt you to look more closely at your systems and investigate.

5 — EXPERIMENTATION

Finally, nothing is set in stone. The early stages of implementing an AFA are experiments. Conduct your research and develop an informed hypothesis, test the hypothesis, collect your observations and results, and develop a conclusion. This will help you determine where things need to be tweaked and adjusted.

The transition from hourly billing to AFAs is well underway and will continue as the legal economy changes and new technologies emerge. Firms that prioritize client satisfaction and are willing to adapt to a changing legal climate, gain a huge opportunity for competitive advantage in an increasingly competitive market.



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